

Business Ethics and Corporate Governance

Week 1a: Introduction to Business Ethics

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Intended Learning outcomes:

- Distinguish between morality and ethics.
- Appreciate the origin and history of ethical thought.
- Understand how ethics are classified.
- Define business ethics and its evolution.
- Explain the business case for business ethics.
- Understand the purpose of business and how it can be implemented.
- Understand how businesses exist in an environment of contested values.
- Distinguish between the concepts of ethics and law.
- Appreciate why anyone should be ethical.
- Describe and explain the stakeholder theory.
- Apply the stakeholder management process.



Morality and ethics

MORALITY

Practices and activities considered importantly right and wrong; the rules that govern those activities; and the values embedded in those practices.

De George (2010: 12)

Behavioural rules accepted by society at a particular time in history.

ETHICS

A systematic attempt to make sense of our individual and social moral experience, to determine the rules that ought to govern human conduct.

De George (2010: 13)

Studies morality using ethical theories through observation and analysis.

Ethics tests prevailing morality and suggests changes if required



What is your next move?

You reach the checkout with a trolley full of plants and two large terracotta pots tucked underneath. The cashier is unhelpful and impatient, forcing you to unload the entire haul onto the belt while she shoves items through, tipping several over. In the rush to escape the mounting queue and the operator's attitude, you load your car and head for the trolley bay. A sudden clank stops you. There, on the bottom of the trolley, sit the two expensive pots you forgot to declare and pay.



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Origin and history of ethical thought

Egypt 3000 BCE

Ideals of conduct, treating people with kindness, practical wisdom

Hammurabi c.1750 BCE

Code of law: 'an eye for an eye'

Indian ethics 1500 BCE+

Hinduism (karma), Jainism (non-violence), Buddhism (compassion), Sikhism (truthfulness)

China 6th c. BCE

Laozi's Dao (simple, honest living); Confucius's junzi (superior person)

Islam 6th c. CE

Righteousness, piety, worship; based on Qur'an, Sunnah

Western 5th c. BCE+

Socrates, Plato, Aristotle: virtue ethics, Golden Mean, eudaimonia



Ethics and law

With so many laws in place, does it mean that if it is legal, it must be ethical?

Legal but unethical

Tax avoidance schemes.

Ethical but illegal

Civil disobedience importing affordable
AIDS drugs from Thailand

Illegal and unethical

Enron accounting fraud, price-fixing
cartels, forced labour

Legal and ethical

Fair wages, environmental sustainability,
transparent reporting



Key legislation responding to ethical failures

US **Sherman Act (1890)**

Prohibits price fixing, cartels, and monopolisation

US **Clayton Act (1914)**

Restricts mergers that lessen competition

US **Sarbanes-Oxley Act (2002)**

Corporate and auditing accountability after Enron/WorldCom

US **Dodd-Frank Act (2010)**

Financial sector regulation after 2008 crisis

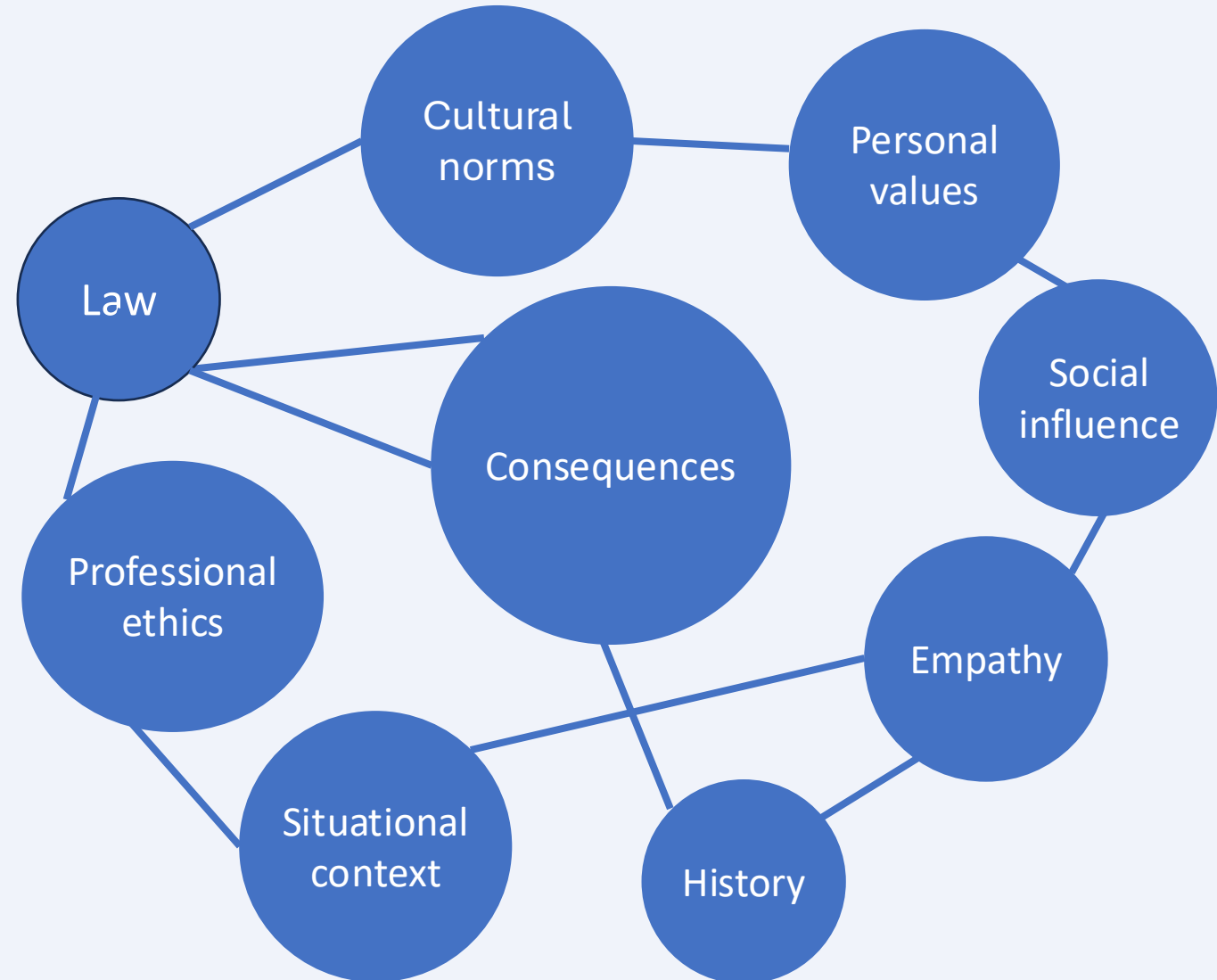
AU **Competition & Consumer Act (2010)**

Enforced by ACCC to prevent monopolistic behaviour



Discussion: factors that influence ethics at work

- What problems do you think organisations have when trying to encourage ethical behaviour in the workplace?
- Think about how you have been brought up and your life influences and compare it to some of your friends or other people you have met during your life.



Classification of ethics

GENERAL ETHICS

Descriptive ethics

The study and description of the morality of people, culture, or society.

Prescriptive ethics

Building and justification of a moral system. Includes utilitarianism, deontological, and virtue ethics.

Metaethics

Analysing the meaning of moral terms, studying the logic of moral reasoning, and analysing presuppositions of moral activities.

SPECIAL ETHICS

Application of general ethics to solve particular problems in specialised fields.



Three levels of moral judgement

Abstract

Ethical theories explain why actions are right or wrong and provide decision procedures.

Intermediate-level concepts

Professional codes for law, medicine, engineering, accountancy. E.g., NSPE Code, Sarbanes-Oxley Act, SA8000, GRI, UN Global Compact.

Concrete-level concepts

Organisational codes of ethics/conduct. Specific prescriptions and prohibitions for particular circumstances. 76% of Fortune 200 have business codes (KPMG, 2014).



Business ethics: a matter of principles

- The application of general ethical concepts to solve particular problems in business: encompassing all economic transactions between individuals, organisations, and other entities.
- Business ethics is not an oxymoron: businesses need values like honesty, fairness, and trust to succeed.
- Seeks to understand why unethical behaviour happens and how to mitigate it.
- Integrates three viewpoints: the economic, the legal, and the moral.
- Managers are prone to unconscious bias: implicit prejudice, in-group favouritism, overclaiming credit, and conflicts of interest.

Banaji et al. (2003); De George (2010); Boatright (2003)



History of business ethics



Notable ethical failures in business

Nike sweatshops (1970s) | Ford Pinto safety (1971-80) | Enron governance (2001) | Wall Street financial crisis (2008) | BP oil spill (2010) | Rio Tinto heritage destruction (2020)

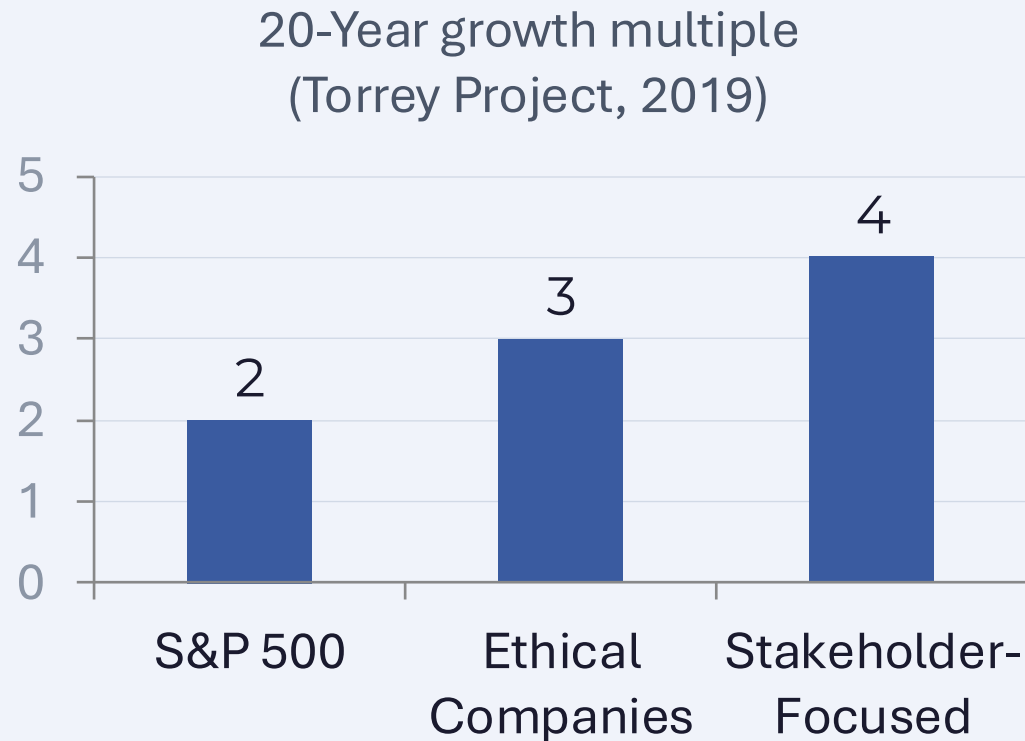


Is business ethics getting better?

- Top-level executive ethics eroded in 2000s (Carroll, 2010).
- Ethical problems are systemic to the business system.
- Pressure on employees to compromise standards at all-time high (NBES, 2022).
- Retaliation against whistleblowers at alarming rates.
- Ethical culture strength remains high in workplaces.
- Growth of CSR, sustainable development, Triple Bottom Line.
- Legislation: Sarbanes-Oxley, Civil Rights Act, UK Data Ethics Framework.
- Rise of activist groups: Greenpeace, Rainforest Alliance, Just stop Oil.



Is ethics good for business?



Positive view

Reduced costs from unethical conduct, legal fees, fines. Better performance, reputation, employee retention. Ethical & stakeholder-focused firms outperform S&P 500.

Sceptical view

Difficult to prove ethical companies perform better. Ethics can be costly. No definitive empirical link to profits.



What company values influence your decision?

When quality and prices are equal, how do you decide what product/brand to buy next?

- 72% of executives say purpose provides employees with meaning and fulfilment (Keller, 2015).
- Purpose is the most important factor in brand choice when quality and price are equal (Cone, 2012).
- Link found between purpose, ethical leadership, and financial performance (Erblich, 2019).



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TAKE A BREAK



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From purpose to action: Coca Cola

Feature	The "Classic" Mission (Pre-2010s)	The "Modern" Purpose (Current)
Primary goal	Selling beverages and maximising market share	Creating a "better shared future" for communities.
Focus area	Product, Marketing, and Shareholder Value.	Sustainability, Diversity, and Social Impact.
Key phrase	"To refresh the world in body, mind, and spirit."	"To refresh the world and make a difference."



Stakeholder vs. Stakeholder business viability

SHAREHOLDER VIEW

Milton Friedman (1970)

"There is one and only one social responsibility of business, to use its resources and engage in activities designed to increase its profits so long as it stays within the rules of the game."

STAKEHOLDER VIEW

Edward Freeman (1984)

Managers have a fiduciary relationship; a duty to act in stakeholders' best interests, both legally and ethically.

Stakeholder theory addresses morals and values explicitly as a central feature of managing organisations (Phillips et al., 2003).



Why be ethical?

When values are actively contested, does it make sense to be ethical as long as everyone operates within legal limits?

Individuals

Motivated by both economic and moral concerns — humans act altruistically

Employees

Expect fairness; more likely to 'blow the whistle' when they observe problems

Managers

Need to prevent, resolve, and manage unethical behaviour; protect reputation

Industries

One company's bad publicity can damage the entire industry

Society

Product boycotts, activist protests, government legislation, media scrutiny

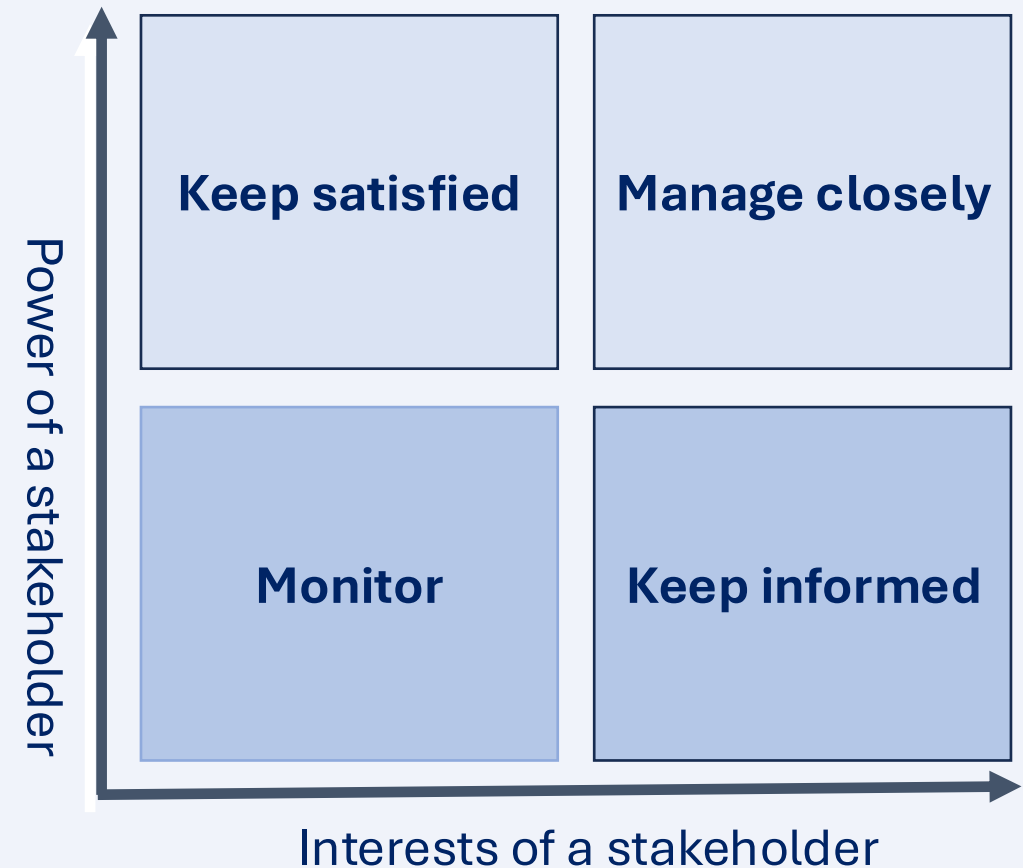
Contested values

Businesses operate in an environment where the values of different entities compete against each other.



P/I stakeholder mapping (Mendelow, 1991)

Once a company has identified its stakeholders and their interests and power, they then must decide how they will manage that relationship to ensure that the stakeholders doesn't disrupt their business.



Criticism of Mendelow's P/I matrix for ethics

- A company cannot solve every social issue. The matrix helps identify which ethical concerns (like labour rights or carbon emissions) are being pushed by the most influential groups.
- By mapping stakeholders with high power but low interest, a company can see where it might be "getting away" with poor ethics and proactively fix it before those stakeholders become interested (and angry).
- Helps a company speak the "right language" to the right people using data-driven ESG reports for investors while using community-outreach programs for locals.
- The most vulnerable people affected by a company (e.g., exploited workers in a distant supply chain) often have high interest but zero power. Under Mendelow, they are ignored or given "minimal effort," which is inherently unethical.
- In the age of social media, a "Low Power" stakeholder can become a "Key Player" overnight via a viral post. The matrix is a snapshot and often fails to predict rapid shifts in public sentiment.



Key summary

- Ethical thought spans all major world cultures and religions — the golden rule is universal.
- Ethics is classified into descriptive, prescriptive (normative), and metaethics.
- Business ethics applies ethical concepts to solve business problems across economic, legal, and moral dimensions.
- The stakeholder concept broadens responsibility beyond shareholders to all affected parties.
- The 'why' behind a business drives strategy, engagement, and long-term success.
- Businesses operate in an environment of contested values where entities compete for their interests.
- Friedman's shareholder view vs Freeman's stakeholder theory; the 2019 BRT statement signals a shift.



Thank you for listening

Any questions?



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